

ServiceNow

The fastest-growing major enterprise software company · www.servicenow.com

2004

Founded

\$15.8B

FY2026 subscription

+24.5%

Q2 growth

\$1B+

AI annual contract value

100B

Workflows per year

01 Overview

Growing subscription revenue at 24.5% at a scale approaching \$16B, with AI annual contract value passing \$1B and accelerating more than 40% quarter over quarter.

Offering: The Now Platform for IT, employee, customer and creator workflows, extended into CRM and CPQ. The AI layer is Now Assist and AI Control Tower, with EmployeeWorks as the unified AI front door.

Key facts

HQ: Santa Clara, California

Ownership: Public (NYSE: NOW)

Revenue: Q2 2026 subscription revenue of \$3.877B, up 24.5% (23% constant currency). FY2026 subscription guidance raised to \$15.755–15.770B, around 21% constant-currency growth, at a 31.5% operating margin and 35% free cash flow margin. Total RPO near \$29B

Web: www.servicenow.com · [LinkedIn](#)

Key people: Bill McDermott (Chairman & Chief Executive Officer) · Gina Mastantuono (President & Chief Financial Officer) · Amit Zavery (President, Chief Product Officer & Chief Operating Officer) · Pat Casey (Chief Technology Officer & EVP of DevOps)

Digital twin: No · **GenAI:** Yes (Now Assist, AI Control Tower)

02 Use Cases & Reported Metrics

Sector	Deployment	Reported impact	Source
Agentic AI adoption	Now Assist and AI Control Tower deployed into governed workflows, with customers moving from pilots to embedded agents.	AI annual contract value passed \$1B in Q2 2026, accelerating more than 40% quarter over...	Link
Security & identity	Acquisitions of Armis and Veza to strengthen asset and identity security — managing visibility and access across people, applications...	Cybersecurity is now ServiceNow's fastest-growing line and, per McDermott, growing faster...	Link

03 Competitive Landscape

Other vendors in this market: Adobe · Oracle · Salesforce · SAP · Workday

Where it sits: The AI Control Tower positioning is the thing to understand. ServiceNow is not trying to be the best model or the best agent — it is trying to be the governance and orchestration layer that sits above everyone else's agents, unifying legacy systems...

04 GIP & BlackRock Connections

GIP became a wholly-owned BlackRock subsidiary in October 2024 and now operates as BlackRock's dedicated infrastructure-investment arm. Stakes below are standard institutional/index-fund positions unless otherwise noted.

Entity	Possible connection
Global Infrastructure Partners	No publicly disclosed GIP relationship. ServiceNow is a plausible portfolio-level play precisely because it is estate-agnostic
BlackRock	No publicly disclosed operating relationship; standard index holdings of NOW only.

05 Sentiment

Customer: Customer expansion is unusually strong — 630 accounts above \$5M a year, up 22%, and large deal counts rising sharply.

What supports the story

- Fastest-growing major enterprise software company at this scale — 24.5% subscription growth approaching \$16B
- AI ACV passed \$1B and is accelerating more than 40% quarter over quarter; McDermott expects roughly \$1.5B for 2026 against a \$1B target
- AI Control Tower positioning governs other vendors' agents rather than competing with them — estate-agnostic and therefore portfolio-friendly

What to pressure-test

- The stock fell as much as 14% after Q1 2026 despite beating on nearly every metric — the market is discounting SaaS regardless of results
- Three acquisitions in quick succession (Moveworks, Armis, Veza) carry integration risk and near-term margin headwinds
- Growth includes meaningful inorganic contribution — roughly 125 basis points from Armis and 100 from Moveworks in FY2026 guidance

Employee: The strongest external recognition of any vendor in this app: ServiceNow earned a place on Glassdoor's 2026 Best Places to Work list, TIME's...

Sources: ServiceNow public filings/website, company fact sheets, Wikipedia, PitchBook/Crunchbase/Datanyze/BuiltIn profiles, Glassdoor employer reviews, vendor case studies and press releases as of Sept. 2026. Figures marked "est." or "not disclosed" are third-party estimates or unavailable — not company-confirmed — validate in diligence. Part of the Physical AI / Industrial AI for Critical Infrastructure market landscape.